



2020 YEAR END EARNINGS REPORT PRESENTATION

JANUARY 28, 2021

Safe Harbor

Except for the historical statements contained in this presentation, the matters discussed herein are forward-looking statements that are subject to certain risks, uncertainties and assumptions. Such forward-looking statements, including the 2021 EPS guidance, long-term EPS and dividend growth rate objectives, future sales, future bad debt expense, future operating performance, estimated base capital expenditures and financing plans, projected capital additions and forecasted annual revenue requirements with respect to rider filings, and expectations regarding regulatory proceedings, as well as assumptions and other statements are intended to be identified in this document by the words “anticipate,” “believe,” “could,” “estimate,” “expect,” “intend,” “may,” “objective,” “outlook,” “plan,” “project,” “possible,” “potential,” “should,” “will,” “would” and similar expressions. Actual results may vary materially. Forward-looking statements speak only as of the date they are made, and we expressly disclaim any obligation to update any forward-looking information. The following factors, in addition to those discussed in Xcel Energy’s Annual Report on Form 10-K for the fiscal year ended Dec. 31, 2019 and subsequent filings with the Securities and Exchange Commission, could cause actual results to differ materially from management expectations as suggested by such forward-looking information: uncertainty around the impacts and duration of the COVID-19 pandemic; operational safety, including our nuclear generation facilities; successful long-term operational planning; commodity risks associated with energy markets and production; rising energy prices and fuel costs; qualified employee workforce and third-party contractor factors; ability to recover costs, changes in regulation and subsidiaries’ ability to recover costs from customers; reductions in our credit ratings and the cost of maintaining certain contractual relationships; general economic conditions, including inflation rates, monetary fluctuations and their impact on capital expenditures and the ability of Xcel Energy Inc. and its subsidiaries to obtain financing on favorable terms; availability or cost of capital; our customers’ and counterparties’ ability to pay their debts to us; assumptions and costs relating to funding our employee benefit plans and health care benefits; our subsidiaries’ ability to make dividend payments; tax laws; effects of geopolitical events, including war and acts of terrorism; cyber security threats and data security breaches; seasonal weather patterns; changes in environmental laws and regulations; climate change and other weather; natural disasters and resource depletion, including compliance with any accompanying legislative and regulatory changes; and costs of potential regulatory penalties.

Contacts

Paul Johnson

Vice President, Investor Relations
612-215-4535
paul.a.johnson@xcelenergy.com

Emily Ahachich

Director, Investor Relations
612-330-6054
emily.a.ahachich@xcelenergy.com

Darin Norman

Senior Analyst, Investor Relations
612-337-2310
darin.norman@xcelenergy.com

COVID-19 – Effective Response

- Delivered on 2020 financial and operational goals despite pandemic challenges
- Strong business continuity
- Vigilant in keeping employees and customers safe
- Continued service reliability
- Support for customers across our states
- Capital investments that create jobs and support economic growth
- Commitment of nearly \$20 million from Mankato plant sale to COVID-19 relief, racial equity and social justice, near and long term

2020 Financial & Operational Highlights

- Delivered earnings of \$2.79 per share, meeting or exceeding guidance for the 16th consecutive year
- Raised annual dividend by 10 cents (6.2%), marking the 17th consecutive annual increase
- Achieved total shareholder return of just over 7.8%, the second highest for our peer group
- O&M declined almost 1% as we took actions to mitigate COVID-19 impacts
- Announced goal to enable 1.5 million electric vehicles in our service territory by 2030
- Added nearly 1,500 MW of owned wind to our system
- Achieved an estimated 50% carbon reduction in 2020 as compared to 2005 levels
- Rated one of the top-performing nuclear fleets in the nation
- Renewed Boulder franchise agreement
- Achieved constructive regulatory approvals:
 - Minnesota rate case stay-out, wind repowerings and Mower wind acquisition
 - Colorado transportation electrification plan
 - Rate case settlements in New Mexico, Texas and Colorado

Approved Minnesota Wind Repowerings

Response to Minnesota Relief and Recovery Filing



~650 MW owned wind

Supports 80% carbon reduction by 2030

\$750 million rate base investment

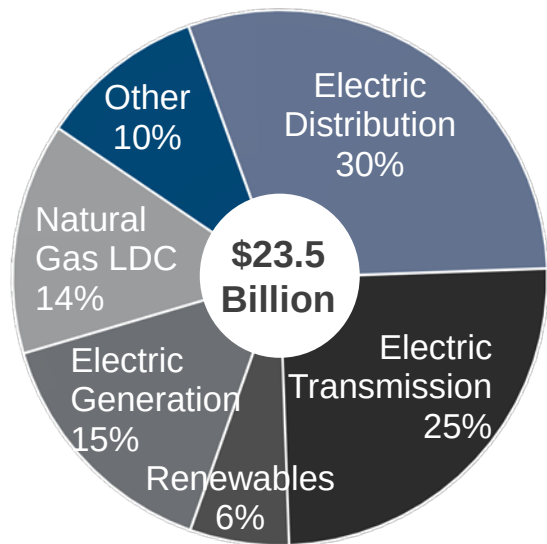
Creates ~700 construction jobs, supports economic growth

Over \$160 million customer savings

Projected over the life of the assets

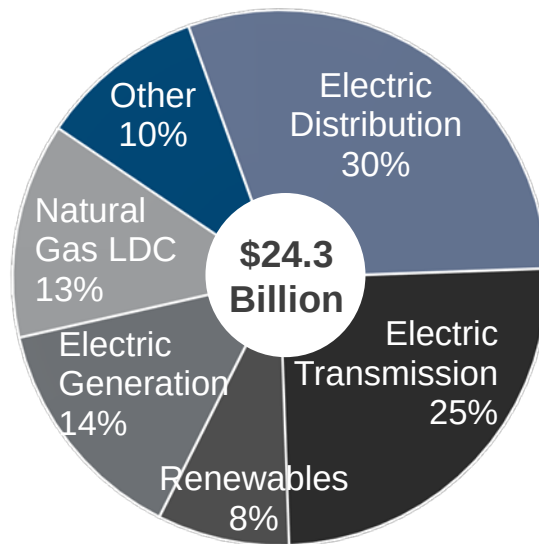
Robust Capital Forecast 2021 - 2025

Updated Base Forecast *



**Proposed
NSPM solar
and wind BOT**

Incremental Forecast



* Updated to reflect \$750 million approved MN wind repowering and timing change of a wind project from 2020 to 2021

Proposed Incremental Projects

~\$760 Million in Additional Wind and Solar



Wind Repowering (~\$210 million)

- ~120 MW
- MPUC filing 2021 Q1
- Decision requested 2021 Q3



Solar (~\$550 million)

- ~460 MW universal scale
- MPUC filing 2021 Q1
- Decision requested 2021 Q3

(\$ Millions)	2021	2022	2023	2024	2025	Total
Sherco Solar	\$30	\$200	\$320	\$0	\$0	\$550
Wind PPA Buyout	\$25	\$185	\$0	\$0	\$0	\$210
Total	\$55	\$385	\$320	\$0	\$0	\$760

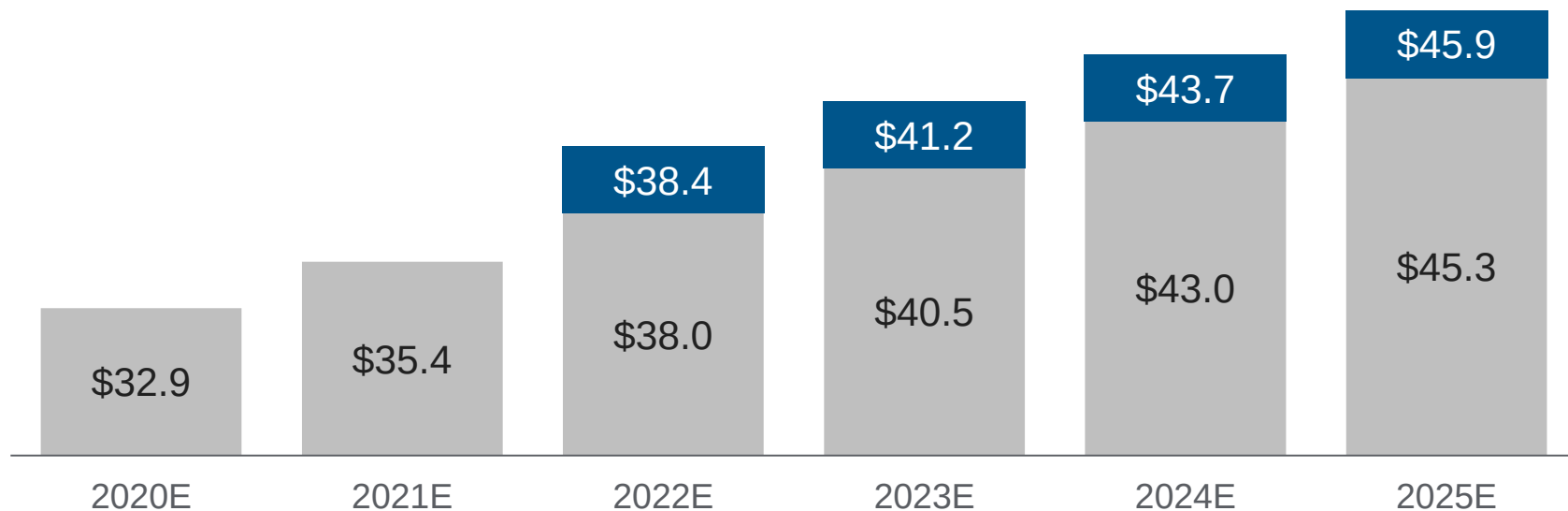
Incremental capital is expected to be financed with ~50% equity and ~50% debt

Strong Rate Base Growth

\$ Billions

Incremental forecast: 2020 - 2025 CAGR: ~6.9%

Base forecast: 2020 - 2025 CAGR: ~6.6%



Incremental forecast includes proposed NSPM Sherco solar and wind PPA repowering/buy-out project

Proven Strength in Wind Development

~3,700 MW of Owned Wind Now in Service



In Served Pre-2020	Capacity
Border	150 MW
Courtenay	200 MW
Grand Meadow	100 MW
Nobles	200 MW
Pleasant Valley	200 MW
Rush Creek	600 MW
Hale	478 MW
Lake Benton	100 MW
Foxtail	150 MW
Total	2,178 MW

In Served In 2020	Capacity
Blazing Star 1	200 MW
Cheyenne Ridge	500 MW
Crowned Ridge	200 MW
Sagamore	522 MW
Jeffers	44 MW
Community North	26 MW
Total	1,492 MW

To Be In Service 2021	Capacity
Mower	99 MW
Freeborn	200 MW
Blazing Star 2	200 MW
Dakota Range	300 MW
Total	799 MW

2020 ESG Highlights

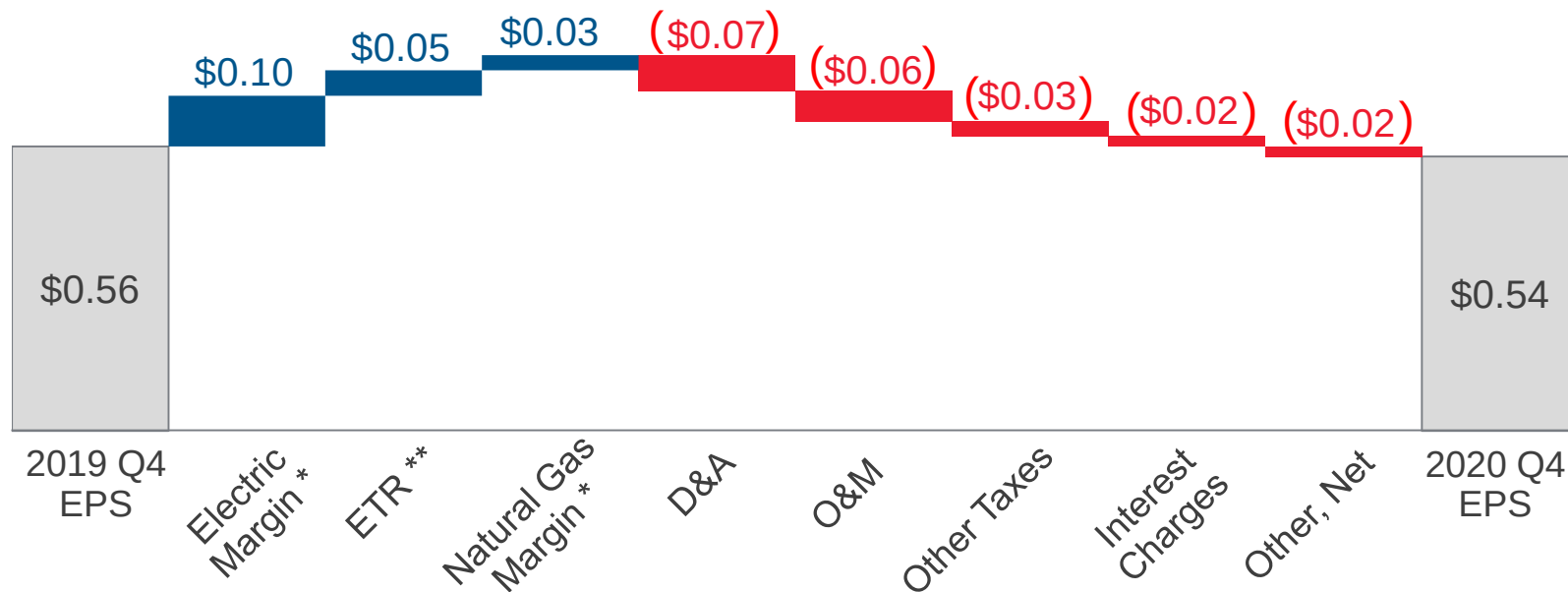
- Achieved an estimated 50% carbon reduction in 2020 as compared to 2005 levels
- On track to achieve 80% carbon reduction by 2030
- Announced conversion of Harrington coal plant to natural gas
- Proposed early retirement of Hayden and Craig coal plants
- Announced innovative hydrogen pilot
- Issued additional climate disclosures
 - TCFD risk assessment (formal supporter and fully aligned with recommendations)
 - Natural Gas report on plans to reduce greenhouse gases in our LDC
 - Green bond impact report
- Earned another perfect score on the Human Rights Campaign's Corporate Equality Index
- Remain among the Best Places to Work for LGBTQ equality
- Gain from Mankato plant sale to support COVID-19 relief, racial equity and social justice

EPS Results by Operating Company

Operating Company	Fourth Quarter		Full Year	
	2020	2019	2020	2019
NSPM	\$ 0.23	\$ 0.24	\$ 1.12	\$ 1.04
PSCo	0.25	0.25	1.11	1.11
SPS	0.10	0.09	0.56	0.51
NSPW	0.04	0.03	0.20	0.15
Equity earnings	0.01	0.01	0.05	0.05
Regulated utility	0.63	0.62	3.04	2.86
Holding company and other	(0.09)	(0.07)	(0.25)	(0.22)
Total GAAP and ongoing diluted EPS	\$ 0.54	\$ 0.56	\$ 2.79	\$ 2.64

Amounts may not sum due to rounding

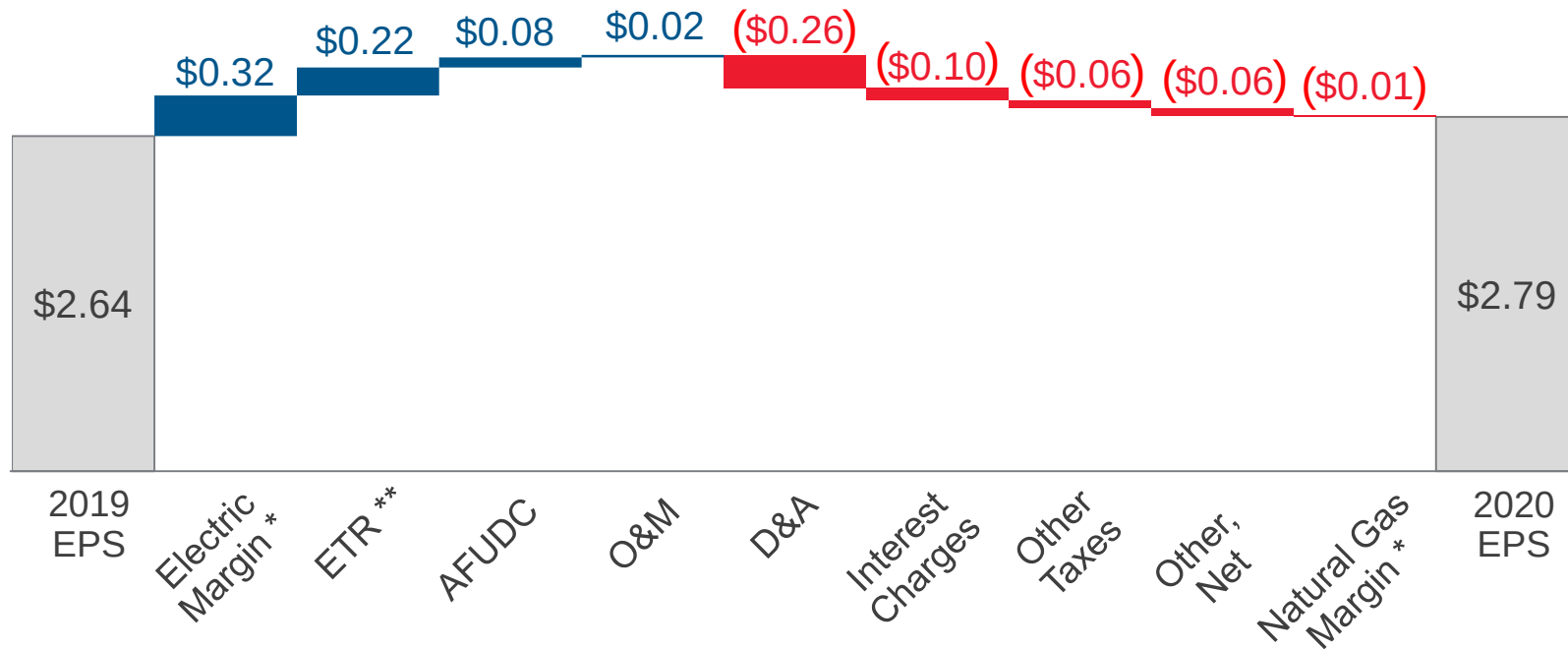
Quarterly GAAP and Ongoing EPS Change



* Combined electric and natural gas margins include ~\$0.02 of negative weather impacts (post decoupling)

** Includes PTCs and tax reform regulatory amounts, which are primarily offset in electric margin

Annual GAAP and Ongoing EPS Change



* Combined electric and natural gas margins include ~\$0.03 of negative weather impacts (post decoupling)

** Includes PTCs and tax reform regulatory amounts, which are primarily offset in electric margin

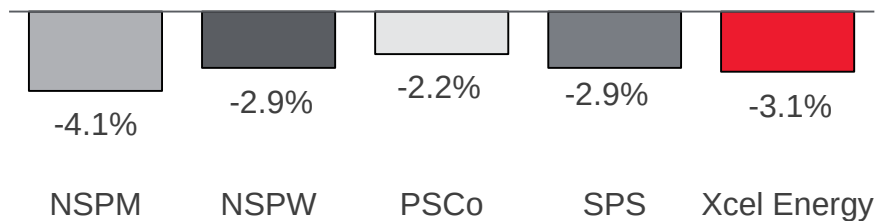
Electric Margin

Diluted Earnings (Loss) Per Share	Fourth Quarter 2020	Full Year 2020
Electric margin (excluding reductions in sales and demand)	\$0.11	\$0.41
Reductions in sales and demand *	<u>(0.01)</u>	<u>(0.09)</u>
Higher electric margins	\$0.10	\$0.32

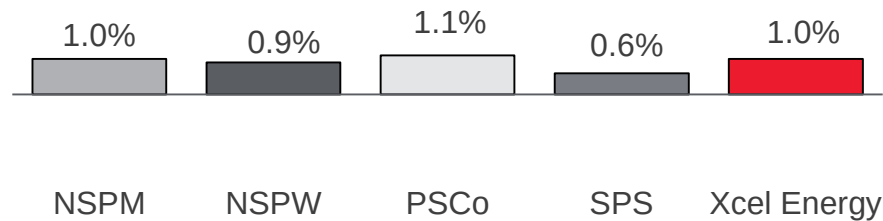
* Excludes weather impact, net of decoupling/sales true-up and reduction in demand revenue is net of sales true-up

Sales and Customer Data

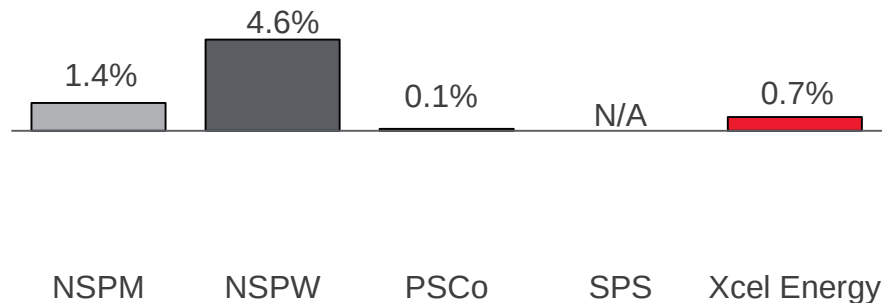
2020 W/A Retail Electric Sales Growth
(leap year adjusted)



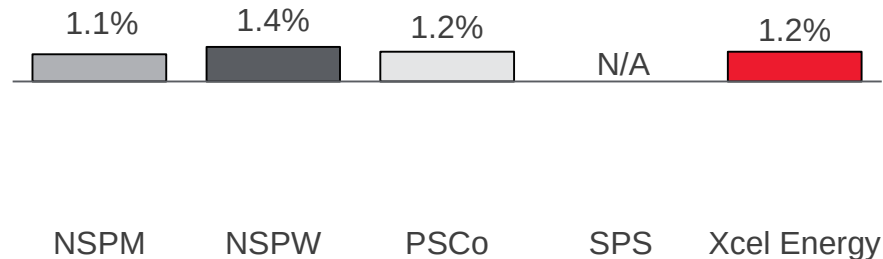
2020 YoY Electric Customer Growth



2020 W/A Natural Gas Sales Growth
(leap year adjusted)



2020 YoY Natural Gas Customer Growth



SPS New Mexico Electric Rate Case

Case No. 20-00238-UT

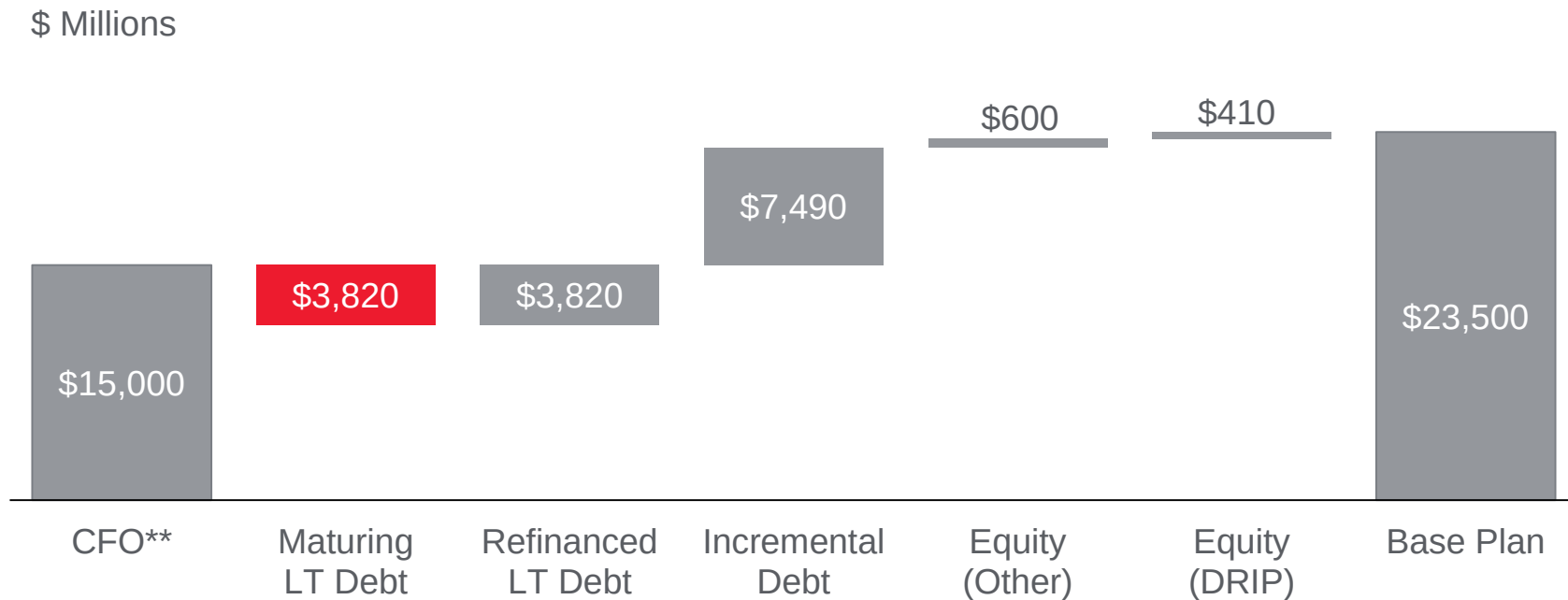
- In January 2021, SPS filed a required electric case:
 - Requesting rate increase of ~\$88 million, or net increase of \$48 million (reflecting fuel savings and PTCs from Sagamore wind farm)
 - ROE of 10.35% and equity ratio of 54.72%
 - Retail rate base of ~\$1.9 billion
 - HTY ended September 30, 2020, including capital additions through February 2021
 - Changes to depreciation rates to reflect early retirement of the Tolk coal plant and Harrington plant coal handling assets due to conversion to natural gas
- A decision is expected 2021 Q4

NSPM North Dakota Electric Rate Case

Case No. PU-20-441

- In November 2020, NSPM filed an electric rate case:
 - Requesting rate increase of \$22 million
 - ROE of 10.2% and equity ratio of 52.5%
 - Rate base of \$677 million
 - 2021 forecast test year
- Interim rates of \$16 million (subject to refund) were implemented January 2021
- A decision is expected 2021 H2

Updated Base Financing Plan 2021 – 2025*



* Financing plans are subject to change

** Cash from operations is net of dividends and pension funding

2021 GAAP & Ongoing EPS Guidance: \$2.90 – \$3.00

Earnings Drivers	Key Assumptions (as compared to 2020 levels unless noted)
Regulatory proceedings	Constructive outcomes in all proceedings
COVID-19	Modest impacts
Weather	Normal weather for remainder of year
W/A retail electric sales	Increase of approximately 1%
W/A retail firm natural gas sales	Relatively flat
Capital rider revenue (net of PTCs)	Increase of \$105 million - \$115 million
O&M expenses	Relatively flat
Depreciation expense	Increase of \$195 million - \$205 million
Property taxes	Increase of \$45 million - \$55 million
Interest exp. (net of AFUDC-debt)	Increase of \$0 million - \$10 million
AFUDC-equity	Decline of \$45 million - \$55 million
Effective tax rate (net of PTCs)	Approximately (9%)

Ongoing earnings is calculated using net income and adjusting for certain nonrecurring or infrequent items that are, in management's view, not reflective of ongoing operations. Ongoing earnings could differ from those prepared in accordance with GAAP due to unplanned and/or unknown adjustments. Xcel Energy is unable to forecast if any of these items will occur or provide a quantitative reconciliation of the guidance for ongoing EPS to corresponding GAAP EPS.

Updated Base Capital Expenditures by Function

\$ Millions

	2021	2022	2023	2024	2025	Total
Electric Distribution	\$1,205	\$1,440	\$1,550	\$1,505	\$1,475	\$7,175
Electric Transmission	\$870	\$1,285	\$1,285	\$1,270	\$1,290	\$6,000
Electric Generation	\$630	\$575	\$560	\$750	\$975	\$3,490
Natural Gas	\$615	\$615	\$665	\$670	\$625	\$3,190
Other	\$545	\$575	\$485	\$405	\$335	\$2,345
Renewables	\$610	\$255	\$165	\$270	\$0	\$1,300
Total	\$4,475	\$4,745	\$4,710	\$4,870	\$4,700	\$23,500

The base capital forecast has been updated to reflect \$750 million for the approved MN wind repowerings and a shift in the timing of a wind project from 2020 to 2021. The base capital forecast excludes \$760 million for the proposed NSPM Sherco solar and wind PPA repowering/buy-out project.

Updated Base Capital Expenditures by Company

\$ Millions

	2021	2022	2023	2024	2025	Total
NSPM	\$1,930	\$1,785	\$1,785	\$1,915	\$1,890	\$9,305
NSPW	\$360	\$430	\$395	\$515	\$470	\$2,170
PSCo	\$1,700	\$1,835	\$1,750	\$1,695	\$1,655	\$8,635
SPS	\$505	\$710	\$770	\$735	\$675	\$3,395
Other*	(\$20)	(\$15)	\$10	\$10	\$10	(\$5)
Total	\$4,475	\$4,745	\$4,710	\$4,870	\$4,700	\$23,500

* Includes intercompany transfers for safe harbor wind turbines

The base capital forecast has been updated to reflect \$750 million for the approved MN wind repowerings and a shift in the timing of a wind project from 2020 to 2021. The base capital forecast excludes \$760 million for the proposed NSPM Sherco solar and wind PPA repowering/buy-out project.

Strong Credit Metrics

Plan	2021	2022	2023	2024	2025
FFO/Debt	~17%	~17%	~17%	~17%	~17%
Debt/EBITDA	4.9x	4.9x	4.8x	4.8x	4.9x
Equity Ratio	41%	41%	41%	41%	41%
Hold Co Debt/Total Debt	23%	23%	23%	23%	23%

Credit Ratings	Moody's	S&P	Fitch
Xcel Energy Unsecured	Baa1	BBB+	BBB+
NSPM Secured	Aa3	A	A+
NSPW Secured	Aa3	A	A+
PSCo Secured	A1	A	A+
SPS Secured	A3	A	A-

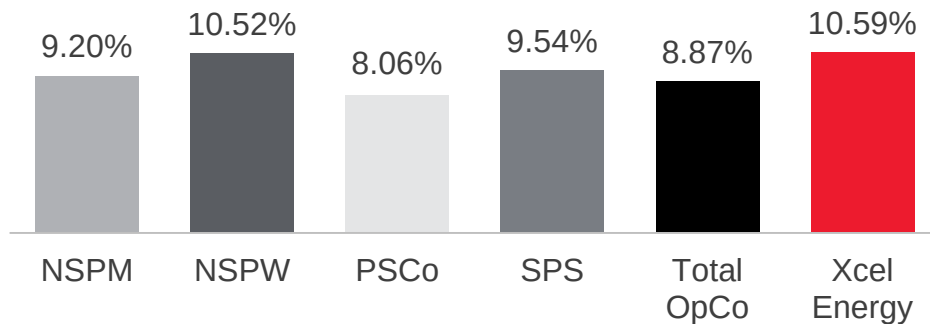
Credit metrics are based on five-year base capital plan and do not reflect rating agency adjustments

APPENDIX

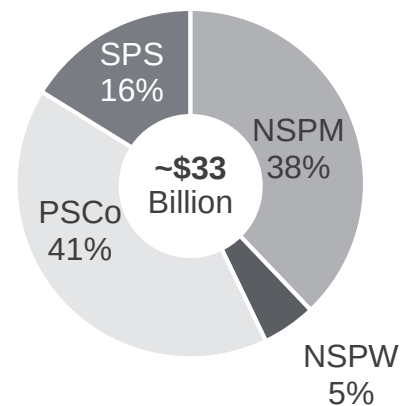
ROE Results – GAAP and Ongoing Earnings

GAAP and Ongoing ROE

Twelve Months Ended 12/31/2020



2020E Rate Base



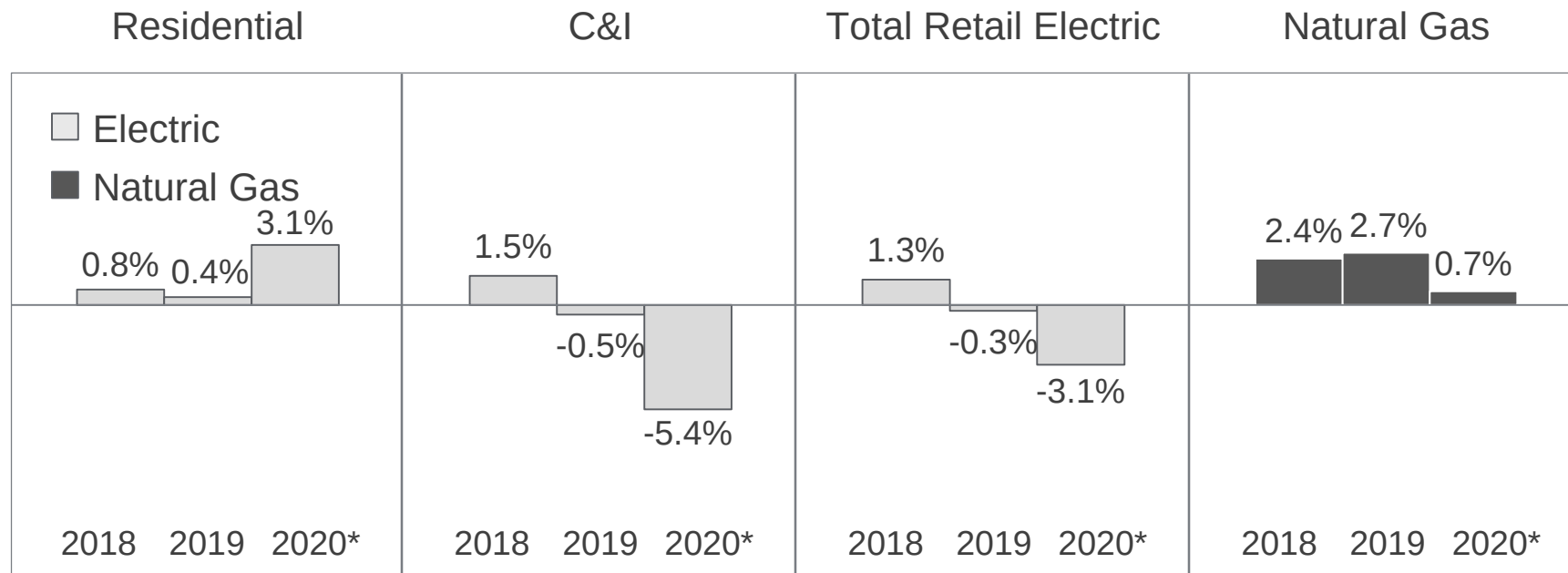
2021 Debt Financing Base Plan

\$ Millions

Issuer	Security	Amount
Hold Co	Hold Co Financing	~\$400
NSPM	First Mortgage Bonds	~\$650
NSPW	First Mortgage Bonds	~\$100
PSCo	First Mortgage Bonds	~\$450
SPS	First Mortgage Bonds	~\$200

Financing plans are subject to change, depending on capital expenditures, regulatory outcomes, internal cash generation, market conditions, changes in tax policies and other factors

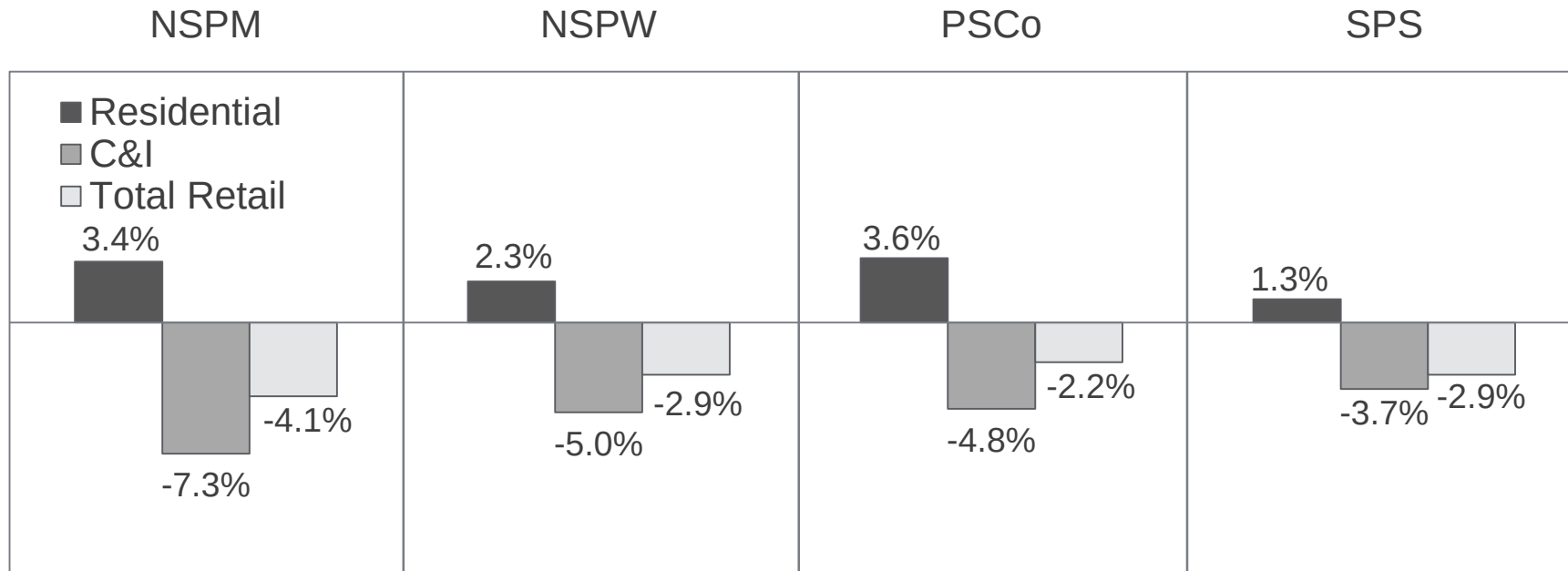
Xcel Energy W/A Sales Growth



* Leap year adjusted

Extreme weather variations, wind chill and cloud cover may not be reflected in growth (decline) estimates

2020 W/A Electric Sales Growth



Leap year adjusted

Extreme weather variations, wind chill and cloud cover may not be reflected in growth (decline) estimates

2021 First Quarter Events

Virtual Events	Dates
Barclays Fixed Income Conference	March 2
Morgan Stanley Conference	March 2
Bank of America Conference	March 3
UBS European Conference	March 23-25
J.P. Morgan ESG Conference	March 24
UBS Midwest Conference	March 30-31

